



Johnson and Johnson



Group 8



Hofstede on J&J

Low power distance:

- Responsibility to managers is lower than employees

Collectivist:

- Throughout credo they show that this company is a team through the use of the word we. Even if its not talking about the credo J&J use we.

Feminine

- Their CEO when interviewed about the 75th year of the credo he talks about inclusion
 - "Inclusion is how we've done business at Johnson & Johnson for 132 years. And we know it's the key to growing together as a company and thriving in the future." (Johnson & Johnson, 2018)

Long Term:

- The credo helps employees feel like they are a part of the family.

Restrained:

- They have a long duty responsibility to their patients and their employees meaning they are more restrained in their culture.

High Uncertainty Avoidance

- Their culture does not like change as they have had their credo in place for a while and that brings forth the foundational set of values.

The Ideal Employee

The ideal employee at Johnson and Johnson would be

- Ethical and patient focused
- A collaborative team member
- An innovative problem solver
- Able to follow safety and compliance standards
- Supporting of companies long term mission

Patient First Values vs. Performance Expectations

- Credo puts emphasis on putting patients before profits
- Pressure to meet deadlines and stay competitive
- Must decide whether to raise safety concerns that could delay product launch
- Balance both ethical responsibility and performance goals

Impact on Daily Work

- Delay projects to ensure safety and compliance
- Raise concerns that could slow product launches
- Balance patients safety with performance pressures
- Make decisions that weigh risk versus speed

Johnson and Johnson Stated Culture vs Behavior

Stated Culture (Credo):

- First responsibility: patients, doctors, nurses, product users.
- Prioritizes safety, quality, and ethical responsibility over profits.

Behavior in the Baby Powder Talc Incident

- Internal knowledge of asbestos contamination concerns for decades.
- Continued selling the product while publicly claiming it was safe.



Cultural Tension: Actions conflicted with Credo's emphasis on consumer safety and transparency.

Examples and Ambiguities

- 2018 Reuters investigation: internal tests sometimes found trace asbestos.
- Internal vs. public messaging: company knew of potential risk but assured consumers of safety.
- Product withdrawal: discontinued in U.S. (2020) citing declining demand, not safety concerns.

Leadership Messages & Cultural Elements

Cultural elements that enabled behavior:

- Strong legal defense: encouraged defensive posture.
- Reputation protection: brand image prioritized over full transparency.

Cultural Elements Violated:

- Patient safety: Credo principle compromised.
- Transparency and trust: moral leadership and openness not upheld.

Leadership Messages:

- Explicit: Product is safe, we stand by the science, we will defend the company.
- Implicit (Employees): Legal/brand protection over transparency.
- Implicit (Customers): Liability minimization prioritized over concerns from customers

Impact and Unintended Messages

Employee Morale:

- Ethical dissonance between Credo and litigation tactics.
- Some may feel reassured by legal and financial stability.

External Reputation:

- Historically trusted brand- talc controversy caused reputational damage and skepticism.

Future Ethical Decisions:

- Leaders may adopt early transparency to protect trust.

Unintended Contradictions:

- Messaging: “consumer-first” vs. selling a product with known risks.

Ethical Decision Making Model

- Facts
 - J&J ordered to pay over 1.5 billion
 - Cherie Craft claimed J&J's baby powder exposed her to asbestos and led to cancer
 - J&J said it would appeal the verdict
 - J&J has faced thousands of lawsuits linking its baby powder to cancer
- What ethical issues arise?
- Stakeholders
- Compare and weigh the alternatives
- Make a decision
 - J&J continued to defend talc products while contesting scientific claims

Our Approach

- Disagree with J&J's course of action
- Alternative options existed
- Most challenging decision point
 - Considering stakeholders



Kohlberg's Stages Application

We **don't agree** with J&J's actions of continuing to defend its talc products, while contesting scientific claims and pursuing litigation. J&J should have been ethically responsible and taken responsibility and accountability.

Ethical Actions J&J Should Have Taken

1. Suspend talc baby powder and all talc-based products immediately
2. Be transparent about potential asbestos contamination risks
3. Publicly apologize for continuing to sell the product while claiming it was safe
4. Create a compensation fund for affected victims
5. Conduct an independent scientific review to determine the extent and causes of asbestos contamination in talc products

Ethics vs. Legal Compliance

- Business ethics means doing what is right and with integrity, even when no one is watching

“Putting ethics into practice requires not simply decision making, but accountable decision making.” (Hartman et al., 2025, p.39).

- J&J defended its actions legally, calling the verdict “unconstitutional” and pursuing appeals
- Under stakeholder theory and J&J’s credo, the company’s first responsibility is patients and consumers

“Our Credo challenges us to put the needs and well-being of the people we serve first... Our Credo is more than just a moral compass.” (Johnson & Johnson).

- In this case, bankruptcy settlement attempts, denial, and defensive litigation contrast their credo

Kohlberg's Stages of Moral Development

Stage 4 - Law and Order (Conventional Level):

- J&J focused on legal compliance and defending itself within the legal system

Stage 2 - Individual Interest (Pre-Conventional Level):

- Actions appear driven by minimizing payouts and financial liability

Long-Term Implications:

- Loss of trust among patients, consumers, employees, and shareholders
- Culture focused on legal defense and profit protection rather than values and ethics
- Risk of long-term reputation damage and long-term litigation cycles

Level 3	Post-Conventional Shared standards Rights, duties and principles	Stage 6: Self selection of universal moral principles.
		Stage 5: Personal values used to achieve social consciousness.
Level 2	Conventional Performing right roles	Stage 4: Upholding laws to meet societal expectations
		Stage 3: Meeting the expectations of others.
Level 1	Pre-Conventional Values in external events	Stage 2: Acting to further one's own self interest.
		Stage 1: Acting to avoid punishment

Challenges

- One of the biggest challenges we had was finding the sources that were credible but also accurate to the scope of the project. We often times found sources that were not credible to use so we had to change the information to reflect credible information.
- As a team, we avoided using AI to find sources and wrote our slides ourselves because we feel that would take away from the goal of the assignment and we wanted to keep our work original and honest.

Work Cited

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